

Contestant Number: _____

Time: _____

Rank: _____



Advanced Accounting (110)

State 2024

CONCEPT KNOWLEDGE:

Multiple Choice (25 @ 2 points each) _____ (50 points)

APPLICATION KNOWLEDGE:

Account Identification (10 @ 3 points each) _____ (30 points)

Short Answer (15 @ 3 points each) _____ (45 points)

Job 1: Depreciation _____ (48 points)

Job 2: Net Income Effects _____ (50 points)

TOTAL POINTS _____ ***(223 points)***

Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimals at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

Multiple Choice

Directions: Identify the letter of the choice that best completes the statement or answers the question.

1. In a period of falling prices, which method of inventory costing produces the highest net income, with everything else being equal?
 - A. Weighted Average
 - B. Production Unit
 - C. FIFO
 - D. LIFO
2. Assuming the asset is purchased at the beginning of the year, which method of depreciation shows the highest depreciation expense in year one?
 - A. Double-declining balance
 - B. Sum-of-the-Year's digits
 - C. Straight Line
 - D. MACRS
3. Banners Inc purchases its own common stock. What account is debited?
 - A. Cash
 - B. Capital Stock – Common
 - C. Treasury Stock
 - D. Retained Earnings
4. Under what section of the Statement of Cash Flows will you find an issuance of Capital Stock?
 - A. Operations
 - B. Investing
 - C. Noncash
 - D. Financing
5. Calculating the percentage change of Cash shown on the ending Balance Sheet for 2023 to 2024 is an example of _____.
 - A. vertical analysis.
 - B. horizontal analysis.
 - C. ratio analysis.
 - D. profit analysis.
6. Shelby Johnson invests \$45,000 cash into a partnership, along with donating a computer with a market value of \$3,000. Her partner Keyshawn invests \$40,000 cash into the business. What is the credit to Shelby's Capital account?
 - A. \$3,000
 - B. \$45,000
 - C. \$48,000
 - D. \$88,000

7. What advantage is given to preferred stockholders over common stockholders?
 - A. Company management
 - B. 1st right to dividends
 - C. Voting rights
 - D. Larger return on investment
8. Paying cash for Advertising would be shown on what section of the Statement of Cash Flows?
 - A. Operating
 - B. Investing
 - C. Financing
 - D. Noncash
9. The earnings of a corporation are taxed at the corporate level, while stockholders are taxed for any dividend income they receive from the corporation. This describes what disadvantage of a corporate business structure?
 - A. Unlimited liability
 - B. Difficulty to start up
 - C. Ease of capital investment
 - D. Double taxation
10. What is the ratio that shows the relationship of quick assets to current liabilities?
 - A. Working capital
 - B. Current ratio
 - C. Quick ratio
 - D. Acid test ratio
11. A group of persons elected by shareholders to oversee the corporation is known as the _____.
 - A. Board of Directors.
 - B. Executive Team.
 - C. Shareholders' Council.
 - D. Board of Regents.
12. What do you call service fees received in advance of services performed?
 - A. Advanced fees
 - B. Unbilled fees
 - C. Service fees earned
 - D. Unearned fees
13. Prepaid expenses are what type of account?
 - A. Assets
 - B. Liabilities
 - C. Revenues
 - D. Expenses

14. How often do corporations have to pay dividends to shareholders?
- A. Monthly
 - B. Quarterly
 - C. Annually
 - D. Corporations are not required to pay dividends.
15. Raising the selling price of an item will result in an increase to what, assuming the number of items sold and the cost of those items remained the same?
- A. Cost of Merchandise Sold
 - B. Debt Ratio
 - C. Gross Profit Margin
 - D. Equity Ratio
16. If terms of sale are 2/10, n/30, what does the 10 represent?
- A. The number of days to pay to receive the discount.
 - B. The number of days payment must be made before a late fee is assessed.
 - C. The percentage discount you receive for early payment.
 - D. The amount of money you deduct for early payment.
17. Ohtani Carriers purchases a storage unit for \$200,000. The storage unit requires \$25,000 worth of repairs before it is ready to use. It is estimated the storage unit will be used for five years. What is the recorded cost of the storage unit?
- A. \$45,000
 - B. \$175,000
 - C. \$200,000
 - D. \$225,000
18. Selling a truck would be shown under what section of the Statement of Cash Flows?
- A. Operating
 - B. Investing
 - C. Financing
 - D. Noncash
19. What ratio shows the relationship of assets and stockholders' equity?
- A. Current Ratio
 - B. Debt Ratio
 - C. Debt to Equity Ratio
 - D. Equity Ratio
20. Which of the following accounts, when increased, would increase the EPS of a corporation?
- A. Capital Stock – Common
 - B. Paid in Capital in Excess – Common
 - C. Treasury Stock
 - D. Dividends Payable

21. Which of the following is an intangible asset?
- A. Accumulated Depreciation
 - B. Patent
 - C. Interest Receivable
 - D. Rent Receivable
22. Which of the following represents the maximum number of shares a corporation can issue?
- A. Treasury Shares
 - B. Authorized Shares
 - C. Issued Shares
 - D. Outstanding Shares
23. If a partnership agreement does not specify how income is to be distributed among partners, how will the income be split?
- A. Equally
 - B. Based upon the Capital account balances of each partner.
 - C. Based upon the original investment of each partner.
 - D. Based upon the length of time each has been a partner.
24. Adjusting entries journalized at the end of a fiscal period represent what accounting concept?
- A. Consistent Reporting
 - B. Business Entity
 - C. Historical Cost
 - D. Matching Expenses with Revenue
25. Which financial statement represents financial strength at a given point of time?
- A. Statement of Cash Flows
 - B. Distribution of Net Income
 - C. Income Statement
 - D. Balance Sheet

Account Identification – 30 total points; 1 point per answer

Directions - For each account, identify the classification of the account (Asset, Liability, Stockholders' Equity, Revenue, Cost of Merchandise, Expense), the Financial Statement(s) the account appears on (Income Statement, Statement of Stockholders' Equity, or Balance Sheet; put more than one where applicable), and the normal balance of the account. (1 point each)

Account	Classification (A, L, SE, R, CM, E)	Financial Statement (IS, SOSE, BS, None)	Normal Balance (Dr, Cr, None)
Unearned Fees			
Goodwill			
Income Summary			
Sales Discount			
Dividends Payable			
Paid-in Capital in Excess of Par - Preferred			
Wages Expense			
Dividends – Common			
Treasury Stock			
Prepaid Rent			

Short Answer Problems – 45 total points; 3 points per answer

- Maverick Inc. has 40,000 shares of 5%, \$20 par-value preferred stock outstanding. It also has 100,000 shares of \$20 par-value common stock outstanding. The Board of Directors has declared a \$60,000 dividend. Answer the following questions. (3 points each)

- What is the total dividend to be paid to all preferred shareholders? _____
- What is the total dividend to be paid to all common shareholders? _____
- How much will each common shareholder receive per share of stock? _____

2. Quint Boating Supplies. has 15 units in beginning inventory of model B30 fishing rod, at a cost of \$32.75 per rod. Quint Boating Supplies has the following purchases during 2024: March 14th, 25 rods @ \$34.90; June 23rd, 20 rods @ \$36.10; September 20th, 30 rods @ \$37.25. The inventory on December 31, 2024 shows 38 rods on hand. Quint uses the periodic method of inventory.
- What is the cost of ending inventory under FIFO? _____
 - What is the cost of ending inventory under LIFO? _____
 - What is the cost of ending inventory under Weighted Average? _____
3. Selected data for two corporations are shown below. Calculate the merchandise inventory turnover ratio and average number of days sales below.

	Murtaugh Sports	Riggs Sporting Goods
Merchandise Inventory, January 1 st	\$130,214	\$80,652
Merchandise Inventory, December 31 st	\$142,688	\$75,634
Net Sales	\$3,036,615	\$885,810
Gross Profit	\$1,824,804	\$341,278

Merchandise Inventory Turnover Ratio _____

Average # of Days Sales _____

4. Ashburn and Mullins, a partnership, is liquidating its business. Before the liquidation process the company showed the following balances. The partnership agreement calls for a 60/40 split of profits, with 60% to Ashburn and 40% to Mullins.
- | | |
|----------------------------|-------------------------------------|
| Cash - \$28,765 | Sarah Ashburn, Capital - \$34,850 |
| Net Equipment - \$41,610 | Shannon Mullins, Capital - \$31,965 |
| Accounts Payable - \$3,560 | |

Assuming debts are paid in full and equipment is sold for \$43,610, give the journal entry amounts to distribute the remaining cash to the partners.

Debit Sarah Ashburn, Capital _____ Credit Cash _____

Debit Shannon Mullins, Capital _____

5. A partnership's net income of \$124,670 is to be divided between two partners, Kaley Katniss and Jayden Peeta, according to the following arrangement: There will be salary allowances of \$30,000 for Kaley and \$20,000 for Jayden, with the remainder divided equally. By what dollar amount will each partner's capital account be increased?

a. Kaley Katniss _____

b. Jayden Peeta _____

Problem 1 – Depreciation – 48 total points; 2 points per answer

Carson Manufacturing purchased a machine on January 8th, 2024 for \$1,200,000. The machine is expected to produce 500,000 units, last for five years, and have a salvage value of \$200,000. Find the depreciation and ending book value for 2024, 2025, and 2026 using the Straight-Line, Double-Declining Balance, and Production Units methods of depreciation. The production for 2024 was 88,600 units, for 2025 was 110,800 units, and for 2026 was 117,350 units.

Depreciation Method	Straight-Line	Double-Declining Balance	Production Units
2024 Depreciation	_____	_____	_____
2024 Ending Book Value	_____	_____	_____
2025 Depreciation	_____	_____	_____
2025 Ending Book Value	_____	_____	_____
2026 Depreciation	_____	_____	_____
2026 Ending Book Value	_____	_____	_____

If Carson Manufacturing were to sell the equipment on April 8th, 2027 for \$500,000, give the gain or loss using each depreciation method. Carson manufactured 23,400 units in 2027 through the time of sale.

Straight-line – Gain or Loss? _____ Amount? _____

Double-Declining Balance – Gain or Loss? _____ Amount? _____

Production Units – Gain or Loss? _____ Amount? _____

Problem 2 – Net Income Effects – 50 total points; 1 point per answer

LaLoosh Corporation is a merchandising business selling exercise equipment and supplies to customers. It is a privately held corporation that started operations at the beginning of 2024, when it sold common and preferred stock to selected investors to raise the capital needed to begin the business. Certain customers are allowed credit sales, with terms of 2/10, n/30. Sales tax is 7.5%. Selected transactions during the 4th quarter of 2024 are shown below.

Directions: Analyze each transaction and its effect on the Income Statement **for the year ended December 31st, 2024**. Determine whether the effect is an increase to net income, a decrease to net income, or has no effect on net income for the year 2024. Then identify the amount of the increase or decrease for 2024. If no effect, enter zero for the amount.

1. October 8 – Bought shelving, cost \$4,500; salvage value \$500; useful life 5 years; Straight-line depreciation is used.
2. October 12 – Sold merchandise on account to Claire Cleary, \$1,650, plus sales tax; Original purchase cost was \$915.
3. October 21 – Signed a 120-day, 7% note with 1st National Bank, \$3,000.
4. October 25 – Credit card sales totaled \$4,575, plus sales tax. Total original purchase cost was \$2,834.
5. October 26 – Bought merchandise on account from Exercise Inc., \$12,460. Terms of sale are 2/10, n/30.
6. October 29 – Received cash on account from Claire Cleary from October 12th sale.
7. November 1 – Purchased one month rent for the store, \$3,500.
8. November 1 – Paid cash for six-month insurance policy, \$9,000.
9. November 7 – Sold merchandise on account to Calvin Joyner, \$540, plus sales tax. Original purchase cost was \$285.
10. November 11 – Wrote off Nigel Powers' account as uncollectible, \$2,354. LaLoosh Corp uses the Allowance method.
11. November 15 – Received cash from Calvin Joyner, paying in full his purchase from November 7th.
12. November 16 – Paid cash for October 26th purchase of merchandise.
13. November 21 – Sold 100 shares of common stock, par value \$10, for \$14 per share.
14. November 30 – Declared dividends of \$20,000; \$12,000 to preferred shareholders, \$8,000 to common.
15. November 26 – Sold Equipment with a book value of \$3,200 for \$4,000.
16. December 1 – Paid \$1,200 for a 3-month advertising contract with a website.
17. December 1 – Received \$1,000 from Nigel Powers; account was written off on November 11th.
18. December 1 – Received \$6,300 for a 3-month contract, allowing local sports rehab facility to advertise in your store.
19. December 3 – Accepted 8%, 90-day note from Bob Stone for an extension of time on his account. Bob currently owes \$1,870.
20. December 15 – Paid cash to various governments for November income tax liability, \$3,420.
21. December 18 – Bought back 1,000 shares of \$10 par value common stock from selected investors for \$15 per share.
22. December 19 – Paid cash for electric bill, \$540.

23. December 28 – Received bank statement, showing three checks outstanding, totaling \$1,350. LaLoosh was charged monthly bank fees of \$20.
24. December 30 – Bought store equipment worth \$4,500. The equipment will be used for 5 years, at which time the expected salvage value will be \$800.
25. December 31 - Journalized accrued salaries of \$490, which will be paid on January 3rd.

Transaction Number	Effect on Net Income Increase, Decrease, None	Amount of Effect
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